

DAY 3: LOWER THE COST OF HOME REPAIRS

Benjamin Franklin once said, “In this world nothing can be said to be certain, except death and taxes.”³ But for those of us who are homeowners, I’d like to add one more item to his short list—*home repairs*.

Unfortunately, this is one aspect of homeownership we often like to ignore. As starry-eyed first-time homebuyers, it’s hard to see past the idea of our dream home, and what it means to take care of it. But *all* houses, whether they’re a 100-year-old farmhouse or brand new and custom-built, are going to have items to repair, fix, or replace. And depending on the type of project or how bad the damage is, your bank account can take quite the beating trying to keep up with them all, especially since they almost always seem to happen within just a few weeks of each other!

The best way to soften the blow of an emergency home repair is to have what is commonly known as an Emergency Fund, or you could also call it a Home Repair and Maintenance Fund. This is basically a “rainy day” savings account that won’t allow unexpected repairs to completely destroy your budget, because you already have money set aside for it.

The typical amount to start with in an Emergency Fund is \$1,000, which is a great goal if you’re new to “emergency savings,” but as a general rule, 1% of the home’s assessed value per year will leave you with a comfortable amount for any potential issues that might happen. That means for a \$150,000 home, you should set aside \$1,500 per year or \$125 per month.

I know what you’re thinking right now—how do you find extra money when your budget is stretched as far as it can go? Trust me, I get it, but Emergency Funds are too important to ignore. And even if you can only manage \$5 a week, that’s better than nothing. You will feel so much better knowing you have a little bit extra stashed away for when that rainy day really pours!

However, since one single incident has the potential to completely wipe out your Emergency Fund, it’s essential to stretch that money as far as it can go.